

STOCK UPDATE

Result Update - Q4FY2026

SECTOR

Capital Goods

COMPANY DETAILS

Market cap:	Rs. 3,08,473 cr
52-week high/low:	Rs. 473/361
NSE volume: (No of shares)	720.0 lakh
BSE code:	500049
NSE code:	BEL
Free float: (No of shares)	357.2 cr

Source: NSE, BSE, Mirae Asset Sharekhan Research

SHAREHOLDING (%)

Promoters	51.1
FII	19.5
DII	20.0
Others	9.4

Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE CHART


Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE PERFORMANCE

(%)	1m	3m	6m	12m
Absolute	-8.4	-6.3	-0.7	8.0
Relative to Sensex	-4.7	3.0	10.7	15.4

Source: Mirae Asset Sharekhan Research, Bloomberg

Reco/View: **BUY**

CMP: **Rs. 413**

Price Target: **Rs. 510**
Quick Snapshot

- Revenue lagged estimates but grew 12% y-o-y, on strong order execution. For FY26, revenues grew 16%, surpassing a 15% guidance.
- EBITDA grew 6% y-o-y, margins declined by 162 bps to 29.2% but remained within the guidance range. FY26 order inflows came in at Rs 30,400 crore versus a guidance of Rs 28000 crore.
- Management eyes a 15%+ revenue growth with margins of over 28% and order inflows of Rs 55,000 crore, including QRSAM orders of worth Rs 30,000 crore.
- With a promising order pipeline, we retain a Buy rating with a revised PT of Rs. 510. At CMP, the stock trades at 41x/35x its FY2027/FY2028 earnings estimates.

Result overview

- Order inflows:** BEL's long-term order pipeline remains strong and well diversified across major defence platforms, ensuring growth visibility in the long run. The management has guided a order inflows of Rs 55,000 crore for FY27, including Quick Reaction Surface-to-Air Missile (QRSAM) orders of Rs 30,000 crore, which would flow in by July 2026. For the QRSAM program, BEL has submitted its RFP and is now undergoing cost audits and procedural clearances. Over the next few years, the pipeline prospects include HAMMER (Highly Agile Modular Munition Extended Range) program, Project SHAKTI Phase-IV, Shatrughat and Samaghat Electronic Warfare systems, which would support the revenue growth guidance of >15% in the long run.
- Strong order book:** Order book currently stands at Rs 73,882 crore, providing revenue visibility for 2.5 years. It consists of electronic fuzes (Rs 4,300 crore), LRSAM (Rs 3,500 crore), avionics for LCA (Rs 3,200 crore), BMP2 upgrade (Rs 2,800 crore), Ashwini radar (Rs 2,500 crore), EW suite for Mi-17V 5 (Rs 2,200 crore), spares and services (Rs 2,500 crore). Only the fuzes contract shall last until the next seven years and rest all the orders will be delivered in next 2-3 years.
- Guidance:** BEL maintained its revenue guidance of over 15% with margins of over 28% for FY27. It plans to incur a capex of Rs. 1200 crore in FY27 and guides a spend of Rs. 2,200 crore on R&D.

Our Call

We continue to prefer BEL given its strong order book, order inflow pipeline, robust execution capabilities. We believe that BEL would play a significant role in successfully implementing the government's Make in India and AtmaNirbhar Bharat initiatives, as it is a key defence & aerospace player. After the strong performance in Q4FY26, we factor in a revenue/ profit growth of 16%/ 17% and maintain our Buy rating with PT of Rs. 510 based on 45x of FY2028 EPS.

Key Risks

- Delayed order execution and slower pace of fresh orders can affect revenue growth.
- Higher raw-material prices and shortage of critical components may affect margins.
- Competition from private players with the opening of the defence sector.

Valuation

	Rs cr				
Particulars	FY24	FY25	FY26	FY27E	FY28E
Net sales	20,268	23,769	27,610	32,009	36,875
OPM (%)	24.9	28.8	29.2	29.5	29.5
Adjusted PAT	3,985	5,323	6,062	7,214	8,348
y-o-y Growth (%)	33.5	33.6	13.9	19.0	15.7
Adjusted EPS (Rs.)	5.5	7.3	8.3	9.9	11.4
P/E (x)	73.5	55.0	48.3	40.6	35.1
EV/EBITDA (x)	55.8	39.2	33.5	31.9	27.5
RoCE (%)	15.8	19.8	21.0	21.5	20.6
RoE (%)	26.4	29.3	27.6	26.8	25.0

Source: Company; Mirae Asset Sharekhan estimates

Note: CMP as on May 20, 2026

Concall Highlights:

- **Capex:** The company plans to incur a capex of Rs. 1200 crore for FY2027 versus Rs 980 crore in FY26. It will be used for a night vision factory in Nimmaluru, Electronic Warfare (EW) factory in Ibrahimpatnam, a fuse complex at Nagpur, airborne equipment in EW in Devanahalli, and a facility for the integration of defence systems in missiles.
- **Akash missile systems:** BEL is set to be the lead integrator for Akash NG system since the requirement is to suffice for Airforce. Management is confident of getting the order in FY28.
- FY26 order inflow stood at Rs. 30,000 crore and management guides a order in flow of Rs 55000 crore in FY27 including QRSAM orders.
- Non-defence business currently hovers around 6-7% of sales, Management is targeting to reach 10% of sales in the long run. And this would come from Kavach, Railways, Metro and projects form airport authorities.
- **Data Center Business:** This is very minimal in size as of now; company targets to reach Rs. 1,000 crore of revenue in the longer terms. Highlighted that have many good leads from state governments.
- Currently, exports contribute 3-4% of revenues management eyes a 10% contribution in 2-3 years.

Results

Particulars	Rs cr				
	Q4FY26	Q4FY25	YoY (%)	Q3FY26	QoQ (%)
Net sales	10,224	9,150	11.7	7,154	42.9
Operating expenditure	7,243	6,334	14.4	5,027	44.1
Operating profit	2,982	2,816	5.9	2,127	40.2
Other income	110	195	(43.4)	139	(20.4)
Interest	2	5.9	(72.5)	2	(20.7)
Depreciation	173	138	25.7	135	27.7
PBT	2,917	2,867	1.7	2,128	37.1
Tax	703	746	(5.8)	558	26.0
Reported PAT	2,214	2,121	4.4	1,570	41.0
Adjusted PAT	2,226	2,127	4.7	1,580	40.9
Adjusted EPS (Rs.)	3.05	2.91	4.7	2.2	40.9
Margin (%)			BPS		BPS
GPM (%)	48.2	48.1	13	46.5	168
OPM (%)	29.2	30.8	(162)	29.7	(57)
NPM (%)	21.8	23.2	(147)	22.1	(31)
Effective tax rate (%)	24.1	26.0	(192)	26.2	(212)

Source: Company; Mirae Asset Sharekhan Research

Additional Data

Top 10 shareholders

Sr. No.	Holder Name	Holding (%)
1	Republic of India	51.14
2	Kotak Mahindra AMC Ltd	2.35
3	Vanguard Group Inc	2.18
4	SBI Funds management	2.08
5	Nippon Life India AMC Ltd	2.07
6	Blackrock Inc	2.02
7	Republic of Singapore	1.13
8	Life Insurance corporation of India	1.12
9	HDFC Asset Management	1.10
10	FMR LLC	1.08

Source: Bloomberg

Key management personnel

Name	Designation
Manoj Jain	Executive Director-Chairperson-MD
Bhanu Prakash Srivastava	Executive Director
Damodar S Bhattad	Director (Finance) and Chief Financial Officer (CFO)

Source: Company Website

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